

18 Dec 2025 06:30:00 ET | 14 pages

Sandisk Corp (SNDK.O)

MU Read-Thru: AI-Led DC Demand and Persistent Favorable S/D Dynamics, Reiterate Buy

CITI'S TAKE

Micron (covered by Chris Danely) reported Nov-Q revenues/EPS above street. NAND revenues exceeded consensus on both bit shipments and ASP. MU guiding continued demand momentum and sustained favorable S/D conditions on disciplined capex; technology transitions as primary driver of CY26 bit growth. DC eSSD demand robust, increasingly driven by video/multimodal training and inferencing. CY25 PC unit shipments expected to grow HSD%, from MSD prior, on continued Win10 EOL and AI-PC penetration, continuing into CY26. CY25 industry NAND bit demand growth expected in high-teens % from low-to-mid-teens % on robust data DC, while server unit demand strengthened significantly, with mgmt expecting CY25 unit growth in the high-teens % vs 10% prior and expected to continue into CY26 on increasing content and performance requirements. While MU expects CY26 NAND bit shipments of ~20%yy, it still expects to undership demand, even considering some unit demand elasticity resulting from higher memory pricing.

SNDK –We remain constructive on extremely favorable S/D environment with indications of persistence through CY26, supportive of pricing plus durable underlying data center demand. See our [Kioxia read-thru from Nov 13](#). We believe the industry should remain in tight production supply, with eSSDs benefiting from extremely strong hyperscale demand on generative-AI training/inferencing services, and with vendors working to improve profitability through price increases while judiciously managing capex and supply to expected demand. [See Citi's most recent NAND ASP commentary here](#). We remain constructive on Sandisk shares given an extremely favorable S/D environment persisting through CY26, supportive of pricing plus durable underlying data center demand, coupled with its Bics8 qualifications, serving as a competitive moat, and with mix to data center further benefiting margins longer-term.

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons
2025A	1.81A	0.99A	-0.30A	0.29A	2.79A	2.99A
2026E	1.22A	3.23E	3.91E	5.52E	13.96E	12.39E
Previous	1.22A	3.23E	3.91E	5.52E	13.96E	na
2027E	6.78E	7.22E	5.87E	5.87E	25.74E	20.68E
Previous	6.78E	7.22E	5.87E	5.87E	25.74E	na
2028E	na	na	na	na	23.50E	19.31E
Previous	na	na	na	na	23.50E	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus.

Buy

Short-Term View: Upside, expires 05-FEB-26

Price (17 Dec 25 16:00)	US\$206.83
Target price	US\$280.00
Expected share price return	35.4%
Expected dividend yield	0.0%
Expected total return	35.4%
Market Cap	US\$30,312M

Price Performance

(RIC: SNDK.O, BB: SNDK US)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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SNDK.O: Fiscal year end 30-Jun						Price: US\$206.83; TP: US\$280.00; Market Cap: US\$30,312m; Recomm: Buy					
Profit & Loss (US\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	6,687	7,356	10,423	13,598	13,805	PE (x)	-62.4	74.3	14.8	8.0	8.8
Cost of sales	-5,607	-5,127	-5,846	-6,190	-6,549	PB (x)	2.7	3.3	2.7	2.0	1.7
Gross profit	1,080	2,229	4,577	7,408	7,256	EV/EBITDA (x)	na	35.7	10.3	4.9	4.6
Gross Margin (%)	16.2	30.3	43.9	54.5	52.6	FCF yield (%)	-9.9	4.5	6.7	11.4	10.8
EBITDA (Adj)	-134	849	2,876	5,383	5,064	Dividend yield (%)	na	na	na	na	na
EBITDA Margin (Adj) (%)	-2.0	11.5	27.6	39.6	36.7	Payout ratio (%)	0	0	0	0	0
Depreciation	-150	-159	-147	-136	-136	ROE (%)	na	4.0	21.0	30.5	21.9
Amortisation	0	0	0	0	0	Cashflow (US\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	-284	690	2,729	5,247	4,928	EBITDA	-134	849	2,876	5,383	5,064
EBIT Margin (Adj) (%)	-4.3	9.4	26.2	38.6	35.7	Working capital	281	-185	47	-209	-52
Net interest	-28	-78	-96	-96	-96	Other	-3,075	892	-562	-1,231	-1,239
Associates	0	0	0	0	0	Operating cashflow	-2,928	1,557	2,362	3,942	3,773
Non-Op/Except/Other Adj	-9	-64	-72	-72	-72	Capex	-29	-204	-226	-265	-266
Pre-tax profit	-321	548	2,561	5,079	4,760	Net acq/disposals	0	0	0	0	0
Tax	-156	-146	-418	-1,063	-1,071	Other	204	760	35	0	0
Extraord./Min.Int./Pref.div.	0	0	0	0	0	Investing cashflow	175	556	-191	-265	-266
Reported net profit	-477	402	2,144	4,016	3,689	Dividends paid	0	0	0	0	0
Net Margin (%)	-7.1	5.5	20.6	29.5	26.7	Financing cashflow	136	518	-515	0	0
Core NPAT	-477	402	2,144	4,016	3,689	Net change in cash	-2,617	2,627	1,659	3,677	3,507
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	-2,957	1,353	2,136	3,677	3,507
Reported EPS (\$)	-3.31	2.79	13.96	25.74	23.50						
Core EPS (\$)	-3.31	2.79	13.96	25.74	23.50						
DPS (\$)	0	0	0	0	0						
CFPS (\$)	-20.33	10.77	15.39	25.27	24.03						
FCFPS (\$)	-20.53	9.36	13.92	23.57	22.34						
BVPS (\$)	76.96	63.56	75.30	101.15	124.81						
Wtd avg ord shares (m)	144	145	149	149	149						
Wtd avg diluted shares (m)	144	145	154	156	157						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	na	10.0	41.7	30.5	1.5						
EBIT (Adj) (%)	na	342.9	295.3	92.2	-6.1						
Core NPAT (%)	na	184.3	432.6	87.3	-8.1						
Core EPS (%)	na	184.0	401.4	84.3	-8.7						
Balance Sheet (US\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	328	1,481	3,170	6,847	10,173						
Accounts receivables	935	1,068	1,516	1,673	1,780						
Inventory	1,955	2,079	1,626	1,725	1,958						
Net fixed & other tangibles	2,751	2,900	2,767	2,767	2,767						
Goodwill & intangibles	7,207	4,999	4,998	4,998	4,998						
Financial & other assets	330	458	370	370	370						
Total assets	13,506	12,985	14,447	18,380	22,045						
Accounts payable	357	366	280	327	436						
Short-term debt	0	20	0	0	0						
Long-term debt	0	1,829	1,331	1,331	1,331						
Provisions & other liab	2,067	1,554	1,616	1,651	1,682						
Total liabilities	2,424	3,769	3,227	3,309	3,449						
Shareholders' equity	11,082	9,216	11,220	15,071	18,596						
Minority interests	0	0	0	0	0						
Total equity	11,082	9,216	11,220	15,071	18,596						
Net debt (Adj)	-328	368	-1,839	-5,516	-8,842						
Net debt to equity (Adj) (%)	-3.0	4.0	-16.4	-36.6	-47.5						

For definitions of the items in this table, please click [here](#).

Short-Term View on Sandisk Corp (SNDK.O)

Direction:	Upside
Duration:	Within 90 Days (expires 05 Feb 2026)
Date Added:	07 Nov 2025
Category:	Earnings, Macro fundamentals, and Valuation

We open an Upside 90-Day ST View on SNDK shares on strong Sept qtr execution as the company continues to benefit from strong demand reflecting hyperscaler eSSD demand momentum driving better pricing, robust margins, and eSSD-mix opportunity, paired with already-favorable and yet still improving industry fundamentals well-supported by limited production. We remain constructive on NAND fundamentals: industry remaining in tight production supply, with eSSDs benefiting from extremely strong hyperscale demand for generative-AI training/inferencing services, and with vendors working to improve profitability over coming quarters through price increases, while judiciously managing supply to expected demand.

Sandisk Corp

Company description

Sandisk is a global data storage supplier of NAND Flash solutions, including SSDs, memory cards, USB sticks, portable drives, and automotive. For Client customers, the company offers SSDs for the PC, mobile, gaming, automotive, VR, at-home entertainment, and industrial spaces. The company is primarily focused on increasing its share in Enterprise, targeting the Cloud and Data Center segment. The company also leverages its strong brand name to the Consumer end market for retail and other end-user products, including memory cards, USB sticks, and portable drives. Sandisk was founded in 1988, was then owned by Western Digital from 2016 until its spinout in Feb 2025, and is headquartered in Milpitas, CA. Sandisk's long-standing flash production JV with Kioxia began in 2000 and is signed through 2034. The partnership provides for a steady supply of NAND flash with each company a co-owner of the production facilities with an ownership split of 51% (Kioxia)/49% (SNDK).

Investment strategy

We rate Sandisk shares Buy as the company focuses on gaining share in the growing Enterprise SSD segment post-spin amidst an expected 2H supply/demand balance recovery and improvement with subsequent pricing inflection. Checks point to durable, strong underlying data center demand plus stable-to-favorable supply/demand conditions through CY26 supportive of pricing through the forecast period, while we believe Sandisk's Bics8 technology provides a strong competitive moat in its nascent efforts in the Enterprise space. However, we remain prudently cautious on the potential for elevated price competition between key players during the process, particularly from Chinese players who remain aggressive on gaining share, and where currently underutilized industry capacity can very quickly reverse to oversupply within a small window, making the ideal conditions of price increases short-lived.

Valuation

Sandisk's peer set trades at (FactSet) median 3.1x EV/sales, 3.8x P/BV, and 11.5x P/E vs Sandisk at 3.2x, 3.2x, and 21.7x, respectively. Our target price for SNDK is \$280, where we value shares at 11x FY27 EPS, inline with that of its closest competitor, Kioxia, as well as the larger peer group at 11.5x P/E. We note most peers have DRAM exposure while SNDK does not. However, Kioxia similarly does not have DRAM exposure and trades at 11.5x P/E. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials, where the Sandisk P/BV of 3.2x falls below its peer median of 3.8x and that of Kioxia at 6.4x, leaving room for upside.

Risks

Downside risks that could impede SNDK share price from reaching our target price include: 1) Sandisk's efforts to increase its share in the Enterprise taking longer than expected; 2) Macro environment deteriorating and impacting data

center spend, PC refresh or AI-PC uptake; 3) Supply/Demand imbalances or pricing competition causing volatile pricing fluctuations and significantly impacting margins.

When considering Citi's Quantative Risk Rating criteria, we do not rate SNDK shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO. And though it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

Micron Technology Inc

(MU.O; US\$225.52; 1; 17 Dec 25; 16:00)

Valuation

We set our price target at \$300.00 or 11x C26E EPS, slightly above its historical average given a DRAM pricing upturn and strong AI demand.

Risks

Supply/Demand. Memory industry dynamics are dependent on the ability of DRAM and NAND suppliers to accurately align supply with industry demand. As a result, if memory suppliers ship excess DRAM or NAND bits into the channel, it could lead to an inventory reduction in the supply chain and lower pricing, resulting in downside to our estimates on Micron. Conversely, if memory demand exceeds memory industry supply, it could lead to higher DRAM pricing, resulting in upside to our estimates on Micron.

Pricing. If Micron or one of its competitors lowers DRAM or NAND pricing, it could lead to lower contract/spot pricing, resulting in downside to our estimates on Micron.

Capacity. If Micron or one of its competitors increases manufacturing capacity, it could result in excess bit supply if demand fails to materialize. The latter scenario could cause lower DRAM or NAND pricing, resulting in downside to our estimates on Micron. Conversely, memory capacity reductions could cause memory pricing to increase, resulting in upside to our estimates on Micron.

Competition: Micron competes directly with Samsung, SK Hynix, Toshiba, and Western Digital in the memory market. Consequently, any fluctuations in market share between the latter companies could result in risk to our estimates.

If the impact from the above risks turns out to be greater/less than we expect, the shares could fail to achieve/exceed our target price.

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Appendix A-1

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IMPORTANT DISCLOSURES

Micron Technology Inc (MU)

Ratings and Target Price History
Fundamental Research

Analyst: Christopher Danelly



	Date	Rating	Target Price	Closing Price
1	07-Sep-23 03:00:00	1	*\$85.00	69.87
2	28-Nov-23 13:55:48	1	*\$88.00	76.12
3	21-Dec-23 02:44:14	1	*\$95.00	85.48
4	15-Mar-24 03:00:00	1	*\$150.00	93.25
5	24-Jun-24 02:38:29	1	*\$175.00	139.01

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	17-Sep-24 03:00:00	1	*\$150.00	88.73
7	21-Mar-25 03:00:00	1	*\$120.00	94.72
8	11-Apr-25 07:12:27	1	*\$110.00	69.55
9	09-Jun-25 03:00:16	1	*\$130.00	110.95
10	26-Jun-25 05:06:15	1	*\$150.00	126.00

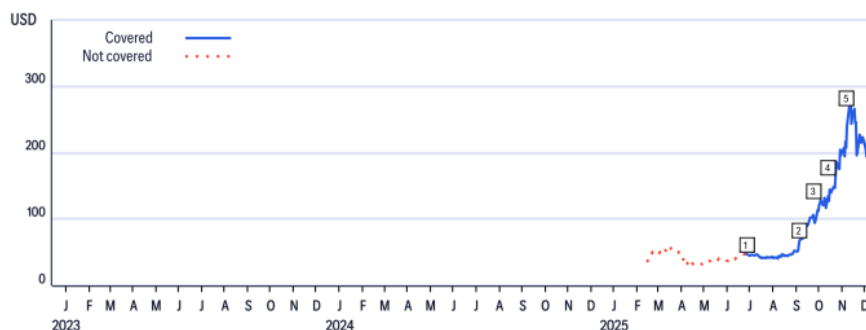
	Date	Rating	Target Price	Closing Price
11	11-Sep-25 03:00:00	1	*\$175.00	150.57
12	24-Sep-25 03:00:00	1	*\$200.00	161.71
13	16-Oct-25 03:00:00	1	*\$240.00	202.53
14	27-Oct-25 03:00:00	1	*\$275.00	220.10
15	09-Dec-25 17:23:49	1	*\$300.00	252.42

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



	Date	Rating	Target Price	Closing Price
1	26-Jun-25 04:00:00	*1	*\$57.00	47.44
2	07-Sep-25 21:24:48	1	*\$80.00	68.55

*Indicates Change

	Date	Rating	Target Price	Closing Price
3	24-Sep-25 04:00:00	1	*\$125.00	99.83
4	13-Oct-25 00:10:56	1	*\$150.00	134.61

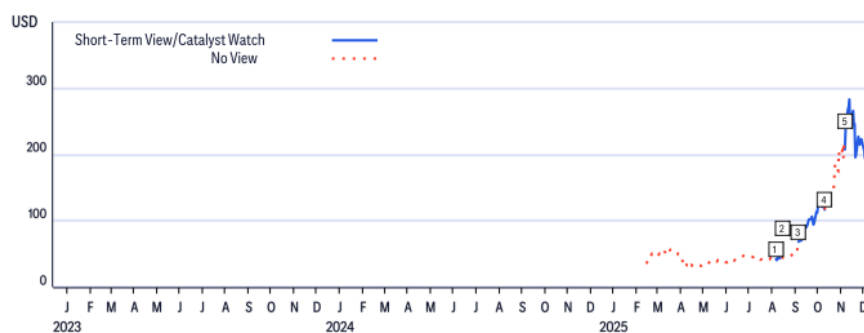
	Date	Rating	Target Price	Closing Price
5	07-Nov-25 00:50:25	1	*\$280.00	239.48

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
2	14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68

	Date	Action	Expected Direction	Duration	Closing Price
3	07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
4	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91

	Date	Action	Expected Direction	Duration	Closing Price
5	06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

Micron Technology Inc (MU)

Short-Term View/Catalyst Watch Research

Analyst: Christopher Danely



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Sep-23 23:00:00	Add CW	Upside	90 Days	70.41
2	06-Dec-23 11:08:02	Remove CW	Upside	90 Days	73.13
3	22-Jul-24 02:02:13	Add CW	Downside	30 Days	115.28

	Date	Action	Expected Direction	Duration	Closing Price
4	15-Aug-24 11:34:03	Remove CW	Downside	30 Days	106.95
5	08-Jun-25 23:05:02	Add CW	Upside	30 Days	108.56
6	26-Jun-25 01:06:15	Remove CW	Upside	30 Days	126.00

	Date	Action	Expected Direction	Duration	Closing Price
7	17-Jul-25 23:00:00	Add STV	Downside	30 Days	113.26
8	15-Aug-25 14:06:06	Remove STV	Downside	30 Days	120.87

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Oct 2025	12 Month Rating			Catalyst Watch		
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% of companies in each rating category that are investment banking clients	36%	39%	26%	38%	35%	35%

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